a fund's standardized performance information, sales charge, and total annual fund operating expense ratio (gross of any fee waiver or expense reimbursement) must be set forth prominently.

To promote more consistent and transparent presentations of investment costs in investment company advertisements, we are proposing to amend rules 482, 433, and 34b-1 to require that investment company advertisements providing fee or expense figures for the company include certain standardized fee and expense figures.[669] The proposed amendments would apply to advertisements of any registered investment company or BDC. We are not proposing to limit the scope of the proposed amendments to a subset of investment companies because we believe investors in any registered investment company or BDC would benefit from advertisements that provide consistent, standardized fee and expense information that is generally aligned with prospectus fee and expense information.

With respect to rule 482, we are proposing to amend the rule to require that investment company advertisements providing fee and expense figures include: (1) the maximum amount of any sales load, or any other nonrecurring fee; and (2) the total annual expenses without any fee waiver or expense reimbursement arrangement (collectively, the "required fee and expense figures").[670] Because we believe that these are important figures for assessing the fees and expenses of a fund investment, the proposal would require any advertisement presenting fee and expense figures to include these items. This proposed requirement would only apply if an

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669 *See* proposed rule 482(i)(1).

670 In an expense reimbursement arrangement, the adviser reimburses the fund for expenses incurred. In a fee waiver arrangement, the adviser agrees to waive a portion of its fee in order to limit fund expenses.

investment company advertisement includes fee or expense *figures*, and therefore an advertisement would not need to include the required fee and expense figures if it only included general, narrative information about fee and expense considerations and did not include any numerical fee or expense amounts.[671]

The proposed required fee and expense figures would be based on the methods of computation that the fund's Investment Company Act or Securities Act registration statement form prescribes for a prospectus. This proposed requirement is designed to promote consistent fee and expense computations across investment company advertisements, particularly within the same fund category, and to facilitate investor comparisons. We are proposing to require consistency with prospectus requirements because, like a fund's summary or statutory prospectus, advertisements are often designed for prospective investors and may influence an investment decision. Further, similar to associated prospectus requirements, if an advertisement covers only a subset of a fund's share classes, the advertisement could provide the required fee and expense information for those classes only.[672]

While investment company advertisements could include other figures regarding a fund's fees and expenses, the advertisement would have to present the required fee and expense figures at least as prominently as any other included fee and expense figures. For example, under the proposed amendments, an advertisement could include a fund's fees and expenses net of certain amounts, such as a fee waiver or expense reimbursement arrangement,

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671 This might be the case if, for example, the advertisement only refers to the fund's fees and expenses in the context of the disclosure required by rule 482(b)(1), which requires a statement advising an investor to consider the investment objectives, risks, and charges and expenses of the fund carefully before investing.

672 *See, e.g.*, Instruction 1(d)(ii) to Item 3 of current Form N-1A; Instruction 1(e) to proposed Item 3 of Form N-1A; Instruction 1(d)(ii) to proposed Item 8A of Form N-1A.

as we understand some fund advertisements do today. However, an advertisement could not present the net figure more prominently than the required fee and expense figures. In addition to meeting the proposed content and presentation requirements, advertisements that include a fund's total annual expenses net of fee waiver or expense reimbursement arrangement amounts would also need to include the expected termination date of the arrangement.[673] We believe this proposed requirement would help investors better understand how a fee waiver or expense reimbursement arrangement may affect their investment costs by providing information about how long the arrangement would likely be in place (including that it may be terminated at any time).[674]

The proposed amendments would also include timeliness requirements for fee and expense information in investment company advertisements.[675] The proposed timeliness requirement would apply to fee and expense *information* and, thus, it would apply to fee and expense figures as well as relevant narrative information. Under the proposal, fee and expense information would need to be as of the date of the fund's most recent prospectus or, if the fund no longer has an effective registration statement under the Securities Act, as of its most recent annual report.[676] A fund would, however, be able to provide more current information,

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673 *See* proposed rule 482(i)(2).

674 This also is similar to information that funds generally must include in their prospectuses when including total annual expenses net of a fee waiver or expense reimbursement arrangement. *See* Instruction 3(e) to Item 3 of Form N-1A; Instruction 4(b) to proposed Item 3 of Form N-1A; Instruction 4(e) to proposed Item 8A of Form N-1A; Instruction 15(f) to Item 4 of Form N-3; Instruction 17 to Item 4 of Form N-4.

675 *See* proposed rule 482(j).

676 In the case of a new fund that does not yet have an effective registration statement, fee and expense information would need to be as of the date of the fund's most recent prospectus filed with the Commission.

if available. The proposed timeliness requirement is designed to prevent investment company advertisements from including stale, outdated information about a fund's fees and expenses. For instance, a registered open-end fund that maintains an effective Securities Act registration statement on Form N-1A would need to provide its maximum sales load (or other nonrecurring fee) and gross total annual expenses, as of the date of the fund's most recent prospectus.[677] As another example, a registered closed-end fund that includes fee and expense figures in a rule 482 advertisement and that does not maintain an effective Securities Act registration statement would need to provide its gross total annual expenses, as of the date of the fund's most recent annual report.[678]

We also are proposing to amend rules 34b-1 and 433 so that those rules incorporate rule 482's proposed content, presentation, and timeliness requirements for fees and expenses. This would help ensure that the same fee and expense-related requirements are applied consistently across all registered investment company and BDC advertisements and sales literature. The proposed amendments to rule 34b-1 would provide that any sales literature of a registered investment company or BDC would have omitted to state a fact necessary in order to make the statements therein not materially misleading unless the sales literature meets rule

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677 The registered open-end fund's maximum sales load (or other nonrecurring fee) and gross total annual expenses would be computed using the method in proposed Item 8A of Form N-1A. Proposed Item 3 of Form N-1A also requires these figures in a fund's prospectus, but proposed Item 8A contains more complete computational instructions for these figures.

678 Under these circumstances, the registered closed-end fund would not have a maximum sales load to report in its advertisement because it does not have an effective Securities Act registration statement and cannot presently sell the fund's securities. The registered closed-end fund's gross total annual expenses would be computed using the method in Item 3 of Form N-2.

482's proposed content, presentation, and timeliness requirements for investment company fees and expenses.[679] That is, sales literature that would not otherwise be subject to rule 482 would have to meet rule 482's fee and expense requirements. The proposed amendments to rule 34b-1 would, for example, apply to sales literature that is excluded from the definition of "prospectus" in section 2(a)(10) of the Securities Act and thus is not subject to rule 482.[680] Additionally, we propose to amend rule 433, which establishes conditions for the use of post-filing free writing prospectuses, to require a registered closed-end fund or BDC free writing prospectus to comply with the proposed content, presentation, and timeliness requirements of proposed rule 482, as applicable, if the free writing prospectus includes fee and expense

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679 *See* proposed rule 34b-1(c). The proposed amendments would apply to any registered investment company or BDC advertisement, pamphlet, circular, form letter, or other sales literature addressed to or intended for distribution to prospective investors in connection with a public offering (collectively, "sales literature"). The current provisions of rule 34b-1, which largely relate to performance information, would continue to apply only to sales literature that is required to be filed with the Commission by section 24(b) of the Investment Company Act.

680 Like the current scope of rules 34b-1 and 482, the proposed fee and expense requirements in these rules and in rule 433 would not apply to any quarterly, semi-annual, or annual shareholder report under section 30 of the Investment Company Act. We also propose to provide similar treatment to other reports pursuant to section 13 of section 15(d) of the Exchange Act (*e.g.*, Form 10-K, 10-Q, and 8-K reports filed by BDCs). *See* proposed rule 34b-1(c)(2).

Consistent with the current provision in rule 34b-1, the amendments are designed to provide that shareholder reports and similar periodic reports that might otherwise constitute sales literature or advertisements under the rules are not covered by the proposed amendments to rules 482, 34b-1, and 433 because those reports serve to inform shareholders of recent developments relating to their investment. *See* 1988 Advertising Rules Release, *supra* footnote 88, at n.40 and accompanying text (explaining that the current provision is necessary because of the breadth of the definition of "sales literature"). We believe the proposed expansion of this provision to cover fee and expense information in fund advertisements is warranted because, among other things: (1) investors are likely to understand that the fee and expense information in an annual or other periodic report is only as current as the report; and (2) the proposed content requirements for funds' annual and semi-annual reports are designed to independently recognize the types of fee and expense information a fund shareholder may need.